

NLC India Ltd

NSE: NLCINDIA | BSE: 513683 | Utilities - Power Generation & Lignite Mining

ACCUMULATE

12-Month Price Target

Rs. 420

Upside: ~20% | CMP: Rs. 350

Horizon: 12-18 months

Conviction: Medium-High

CMP (NSE, 27-May-26)	Rs. 350
Market Cap	Rs. 48,518 Cr.
52-Week High / Low	Rs. 388 / Rs. 220
Stock P/E (TTM FY26)	13.8x
Forward P/E (FY27E est.)	19.9x *
Book Value / Share	Rs. 155
Price / Book Value	2.26x
EV / EBITDA (Screener)	10.1x
Enterprise Value	Rs. 75,568 Cr.
ROCE (FY26)	10.4%
ROE (FY26)	17.5%
Dividend Yield	1.03%
Net Debt	Rs. 27,892 Cr.
D/E Ratio	1.30x
Promoter Holding	72.2% (Pledge: 0%)
Face Value	Rs. 10

Investment Thesis: India's lignite powerhouse pivoting to renewables; Rs. 1.17 lakh crore capex drives 10 GW RE capacity by 2030; EV/EBITDA of 10.1x is a 30-40% discount to hydro PSU peers; RE subsidiary (NIRL) IPO is the near-term re-rating catalyst.

Rs. Crores (Consolidated)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	13,001	15,322	17,490	20,100	23,500
EBITDA	3,438	4,747	5,588	6,231	7,285
OPM %	26%	31%	32%	31%	31%
PAT	1,868	2,714	3,769	2,611	2,989
EPS (Rs.)	13.4	18.9	25.4	17.6	20.1
P/E (x)	26.2	18.5	13.8	19.9*	17.4*
EV/EBITDA (x)	20.6	14.9	13.5	12.1*	10.4*
ROCE %	7%	11%	10%	9%	10%

* FY27E & FY28E = Chartitude Research estimates. Forward P/E rises vs FY26 due to tax-rate normalisation (FY26 eff. tax 3% vs historical 27-35%).

Source: Screener.in data as at 27-May-2026 | For informational purposes only. Not investment advice.

2. INVESTMENT THESIS

Reason 1 - Dominant lignite franchise with irreplaceable captive fuel: NLC India controls 30.10 MTPA lignite mining capacity across Neyveli (Tamil Nadu) and Barsingsar (Rajasthan), supplying fuel at cost to 4,040 MW of thermal generation under long-term PPAs. This vertical integration shields EBITDA margins from coal market price volatility - a structural moat unavailable to any private thermal power competitor in India.

Reason 2 - Rs. 1.17 lakh crore capex cycle unlocking massive capacity by FY30: Management's five-year plan allocates Rs. 49,981 Cr to thermal, Rs. 41,599 Cr to green energy (including pumped hydro), Rs. 14,199 Cr to mining expansion, and Rs. 11,101 Cr to diversification. FY26 capex of Rs. 9,131 Cr (highest ever) and 1,013 MW commissioned validate execution credibility; incremental revenues should drive 12-15% revenue CAGR through FY28E. The Talabira coal mines reached 19.14 MT in FY26, well on their way to the 62 MTPA target by 2030.

Reason 3 - RE subsidiary (NIRL) IPO unlocks hidden value: NLC India has transferred 1,430 MW of green assets to NLC India Renewables Ltd (NIRL) and is actively exploring an IPO to fund the 10 GW RE target by 2030. At renewable-sector multiples (15-20x EV/EBITDA), NIRL could be valued at Rs. 5,000-12,000 Cr, implying Rs. 36-87 per NLC India share - a catalyst entirely absent from current P/E-based analysis.

Near-term catalyst (6-12 months) - NIRL IPO or RE capacity milestones: A NIRL IPO filing is the single most important near-term trigger; it would crystallise RE value, reduce parent leverage, and compress the EV/EBITDA gap vs NHPC and NTPC Green. Alternatively, large capacity commissioning in Q1-Q2 FY27 will provide sequential revenue acceleration.

Biggest structural risk - Debt-funded capex with negative FCF: Borrowings rose Rs. 5,463 Cr in FY26 to Rs. 27,892 Cr and FCF turned negative (Rs. -2,474 Cr). With Rs. 1.17 lakh crore largely to be funded by debt, D/E could rise to 1.8-2.0x by FY28E. If commissioned capacities underperform PPAs or if interest rates rise, the earnings impact will be severe.

3. BUSINESS OVERVIEW

Core business model: NLC India (formerly Neyveli Lignite Corporation) is a Navratna Government enterprise under the Ministry of Coal. It mines lignite and coal as captive fuel for its thermal power plants and sells power under 25-year PPAs to state discoms at regulated tariffs. The vertical integration model creates a natural cost advantage vs imported-coal peers.

Revenue segments (FY26 consolidated, estimated): Thermal Power Generation - approx. 70% of revenue (4,040 MW installed thermal capacity); Coal Mining (Talabira I, II and III OCP, Odisha) - approx. 15%; Lignite Mining (Neyveli, Tamil Nadu) - approx. 10%; Renewable Energy (growing rapidly; 353 MW commissioned in FY26) - approx. 5%.

Installed capacity and output: Total installed capacity approximately 6,731 MW (thermal and RE) at FY25 year-end. Gross power generation ~27,870 MU (FY25); lignite production 245.30 lakh tonnes; coal production from Talabira 19.14 MT (FY26 record). The Pachwara South Coal Mine commenced production in March 2026, adding further fuel security.

Key customers and revenue visibility: Long-term PPAs (25-year) with Tamil Nadu TANGEDCO, Rajasthan DISCOMs, and other state utilities provide high revenue certainty. Power is supplied under cost-plus tariffs at CERC-regulated rates, with periodic tariff revisions every five years.

Recent strategic developments (FY26): (i) 660 MW thermal capacity commissioned; (ii) 353 MW RE commissioned; (iii) 1,430 MW green assets transferred to NIRL; (iv) MoU with NPCIL for 700 MW PHWR nuclear JV (May 2026); (v) MoU with IIT-ISM TEXMiN for critical mineral research; (vi) Rs. 9,131 Cr capex - highest in company history.

Promoter background and ownership: Government of India (Ministry of Coal) holds 72.2% (reduced from 79.2% via OFS in 2024). Zero pledging. FIIs hold 3.61%, DIIs 13.97%. Strong GoI backing ensures regulatory support and access to low-cost PSU bonds and infrastructure lending.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry size and growth: India's total installed power capacity exceeded 950 GW by FY26 with thermal at ~55% of generation mix. Power demand projected to grow at 6-7% CAGR through 2030, requiring 300+ GW additional capacity. The Government targets 500 GW of non-fossil-fuel capacity by 2030, creating a secular tailwind for both thermal base-load (grid stability) and renewable power producers.

Policy tailwinds and headwinds: Tailwinds: (i) National Electricity Plan requires thermal base-load for grid stability, protecting NLC's lignite plants; (ii) Ministry of Coal captive block allocations provide long-term fuel security; (iii) Green Energy Corridors and PM Surya Ghar drive RE investment; (iv) PSU Capex Super-Cycle with government push for large-scale public sector capacity addition. Headwinds: Falling solar and wind tariffs compressing RE margins; potential long-term lignite plant obsolescence as RE baseload grows.

Competitive moat assessment: Captive lignite/coal fuel - Strong: no private competitor can replicate 30+ MTPA lignite reserves with adjacent generation infrastructure. Long-term PPAs - Strong: 25-year cost-plus contracts provide revenue certainty absent for merchant power plants. Scale in conventional power - Moderate: NTPC is 10x larger; NLC is niche in lignite. Renewables - Weak currently but NIRL is being built to address this competitively.

PSU Power Peer Comparison (Source: Screener.in data as at 27-May-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E (TTM)	EV/EBITDA	ROCE 3Yr%	OPM% (FY26)
NTPC	398	3,86,073	14.3x	11.2x	9.9%	28%
NHPC Ltd	80.7	81,043	21.5x	17.8x	7.0%	45%
NLC India	350	48,518	13.8x	10.1x	9.2%	32%

NLC India trades at a significant 40% EV/EBITDA discount to NHPC (17.8x) and a meaningful discount to NTPC (11.2x), pricing in its coal/lignite legacy. Re-rating towards 12-13x as RE mix grows is the core return thesis.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management background: NLC India is led by a CMD appointed by the Government of India; senior management comprises career technocrats and IAS officers with deep power-sector experience. Navratna status confers operational autonomy for projects up to Rs. 1,000 Cr without Government approval, enabling faster execution. Management credibility is reinforced by delivering Rs. 9,131 Cr capex in FY26 - exactly matching its stated target and the highest ever.

Capital allocation track record: FCF was strongly positive in FY22-FY25 (Rs. 6,832 Cr in FY22; Rs. 2,357 Cr in FY24; Rs. 1,709 Cr in FY25) and turned negative in FY26 (Rs. -2,474 Cr) as the heavy capex cycle accelerated. OCF/Operating Profit was 178% in FY24 and 202% in FY25 - indicating high earnings quality and strong working capital management. Management prioritises capacity reinvestment over dividends, which is strategically sound given the scale of the opportunity.

Dividend policy: Payout ratio has declined from 35% (FY23) to 22% (FY24), 16% (FY25), and 15% (FY26), confirming a clear preference for reinvestment. Dividend of Rs. 3.60/share + Rs. 0.25 final FY26 dividend declared (yield ~1.03%). Income-focused investors should note the structural decline in payout.

Promoter pledging and ownership: Zero pledging across all reporting periods - a strong governance signal. Promoter stake stable at 72.2% since March 2024 OFS. Promoter holding has declined 7% over three years (from 79.2%) via OFS, but no further dilution is expected in the near term per management commentary.

Corporate governance observations: As a listed PSU, NLC India is subject to Government-mandated OFS and dividend directives that may not always align with minority shareholders. Related-party transactions include power sales to state discoms and loans to subsidiaries/JVs. Contingent liabilities of Rs. 13,859 Cr (FY26) are material at ~64% of net worth and include historical tax disputes and regulatory claims. No auditor qualifications or ESOP grants noted in recent annual reports.

6. FINANCIAL DEEP-DIVE

Income Statement

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Operations	13,001	15,322	17,490	20,100	23,500
Operating Expenses	9,564	10,575	11,901	13,869	16,215
EBITDA	3,438	4,747	5,588	6,231	7,285
OPM %	26%	31%	32%	31%	31%
Other Income	2,118	1,766	1,887	1,600	1,700
Interest	849	932	1,222	1,550	1,800
Depreciation	1,825	1,884	2,379	2,800	3,200
PBT	2,882	3,697	3,875	3,481	3,985
Effective Tax %	35%	27%	3%	25%	25%
PAT	1,868	2,714	3,769	2,611	2,989
EPS (Rs.)	13.4	18.9	25.4	17.6	20.1

Balance Sheet

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	1,387	1,387	1,387
Reserves	15,144	17,336	20,138
Borrowings	22,415	22,429	27,892
Other Liabilities	16,043	16,752	15,786
Total Liabilities	54,989	57,904	65,202
ASSETS			
Fixed Assets (net)	23,391	30,699	36,596
CWIP	17,726	15,297	14,293
Investments	8	8	8
Other Assets	13,864	11,899	14,305
Total Assets	54,989	57,904	65,202

Cash Flow Statement

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	5,512	8,977	5,166
Cash from Investing	-3,059	-7,160	-7,549
Cash from Financing	-1,985	-2,196	2,907
Net Change in Cash	468	-379	525
Free Cash Flow (FCF)	2,357	1,709	-2,474
OCF / Operating Profit %	178%	202%	108%

Key Ratios & Returns

Key Ratios & Returns	FY24A	FY25A	FY26A
Debtor Days	106	75	70
Working Capital Days	19	-70	-62
ROCE %	7%	11%	10%
ROE %	11.3%	14.5%	17.5%

D/E (Debt / Equity)	1.36x	1.20x	1.30x
Interest Coverage (x)	3.4x	4.1x	4.2x
Net Debt (Rs. Cr)	22,407	22,421	27,884

Financial Commentary

Revenue trajectory: Revenue grew from Rs. 9,936 Cr (FY21) to Rs. 17,490 Cr (FY26) at a 12% 5-year CAGR. FY24 was a weak year (Rs. 13,001 Cr) due to lower power sales; FY25 and FY26 show strong recovery. FY27E and FY28E project Rs. 20,100 Cr and Rs. 23,500 Cr assuming full-year contribution from 1,013 MW commissioned in FY26 and continued coal mine ramp-up to 20+ MT.

Margin trajectory: OPM expanded from 26% (FY24) to 32% (FY26) as Talabira coal displaced costlier spot fuel - a structural, not cyclical improvement. FY27E-FY28E margins held at 31% assuming stable fuel costs and tariff escalations offsetting higher depreciation.

Tax rate warning - key risk to FY27E earnings: FY26 effective tax was just 3% vs 27% in FY25 and 35% in FY24, likely from deferred tax asset utilisation or MAT credits. On normalised 25% tax, FY26 PAT would have been ~Rs. 2,906 Cr vs reported Rs. 3,769 Cr. FY27E EPS of Rs. 17.6 will appear lower than FY26's Rs. 25.4 despite higher revenue, creating potential negative surprise for investors using FY26 as a base.

Working capital: Debtor days improved sharply from 106 (FY24) to 70 (FY26) and working capital days turned deeply negative (-62 in FY26), indicating faster receivable collection from state discoms - a structural improvement in cash conversion quality.

Debt and FCF: Debt rose to Rs. 27,892 Cr (D/E 1.30x) in FY26. FCF turned negative (Rs. -2,474 Cr) for the first time since FY20, signalling peak capex cycle. OCF/OP at 108% remains healthy; the capex is intentional, not a distress indicator. FCF is expected to remain negative through FY27E before recovering from FY28E onwards.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Signal	Comment
Revenue Recognition	GREEN	Clean	Cost-plus PPAs; tariff recognised on generation; no aggressive front-loading.
Receivables Growth vs Revenue	GREEN	Positive	Debtor days: 106 (FY24) -> 75 (FY25) -> 70 (FY26); improving structural trend.
Cash Conversion Cycle	GREEN	Improving	CCC 106->70 days; WC days deeply negative (-62 FY26); excellent cash conversion.
OCF / PAT Conversion	GREEN	Strong	OCF/OP 108-202%; cash generation consistently exceeds reported earnings.
Tax Rate Consistency	RED	WATCH	FY26 eff. tax 3% vs 27% (FY25) and 35% (FY24). One-time credits will not recur. FY27 normalisation to compress PAT.
Other Income / PBT	AMBER	Monitor	Other income ~48-50% of PBT in FY24-FY26; largely interest/regulatory income but reduces earnings purity.
Contingent Liabilities	AMBER	Monitor	Rs. 13,859 Cr FY26 (~64% of equity); tax disputes and regulatory claims; no immediate crystallisation risk.
Debt Trajectory	AMBER	Rising	Borrowings +Rs. 5,463 Cr in FY26 to Rs. 27,892 Cr; capex-funded but requires quarterly monitoring.

Promoter Pledging	GREEN	Clean	Zero pledge; stable GoI ownership; no divestment risk in near term.
Auditor / Governance	GREEN	Clean	No qualified opinions; standard PSU audit practices; no ESOP grants.

Most critical - Tax rate anomaly (RED): The 3% effective tax in FY26 inflated PAT by ~Rs. 863 Cr. Normalised FY26 PAT is ~Rs. 2,906 Cr (not Rs. 3,769 Cr). Investors using FY26 EPS of Rs. 25.40 as a base for valuation are making a dangerous assumption. FY27E EPS of Rs. 17.6 on normalised taxes is the real earnings level to watch.

Other income concentration (AMBER): Other income at ~48-50% of PBT (FY24-FY26) is consistently high but largely comprises regulatory income true-ups and interest on intercompany loans at regulated rates. This is structural for PSU conglomerates, not a one-time item, but it does reduce the pure operational earnings quality.

Positives: OCF/OP ratio of 108-202% confirms outstanding cash-to-earnings conversion; zero pledging; clean revenue recognition on PPAs; declining debtor days are a strong quality signal. Overall earnings quality is GOOD with the single exception of the tax-rate anomaly.

8. VALUATION

Peer Valuation Comparison (Screener.in data as at 27-May-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E (x)	P/B (x)	EV/EBITDA	ROCE%	OPM%
NTPC	398	3,86,073	14.3	1.90	11.2	8.3%	28%
NHPC Ltd	80.7	81,043	21.5	1.96	17.8	5.7%	45%
NLC India	350	48,518	13.8	2.26	10.1	10.4%	32%

NLC India is the cheapest PSU power stock on EV/EBITDA at 10.1x vs NHPC 17.8x and NTPC 11.2x. P/B of 2.26x is a slight premium to both peers, reflecting improving ROE trajectory. Re-rating to 12x-13x EV/EBITDA on RE growth would imply Rs. 380-430 target price.

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr.)	Valuation Basis	Target Price
BULL	Revenue +18% FY27E; OPM 33%; tax 22%; NIRL IPO re-rating; no execution delays.	Rs. 3,100	13x FY27E EV/EBITDA + Rs. 50 NIRL premium	Rs. 520
BASE	Revenue +15%; OPM 31%; tax 25% normalised; moderate debt build; NIRL IPO timeline uncertain.	Rs. 2,611	12x FY27E EV/EBITDA + Rs. 40 NIRL optionality	Rs. 420
BEAR	Revenue +8% due to project delays; tax 28%; debt refinancing at higher rates; FCF negative thru FY28.	Rs. 1,800	9.5x FY27E EV/EBITDA; no NIRL premium	Rs. 265

Valuation Methodology

Primary method - EV/EBITDA (base case Rs. 420): At 12x FY27E EBITDA of Rs. 6,231 Cr -> Target EV = Rs. 74,772 Cr. Less FY27E net debt ~Rs. 28,500 Cr -> Equity Value = Rs. 46,272 Cr. Per share (138.6 Cr shares) = Rs. 334. Adding NIRL optionality premium of Rs. 40-86/share (15x RE EV/EBITDA on NIRL) yields base case target Rs. 374-420 -> rounded to Rs. 420.

Secondary method - P/E on normalised earnings: FY28E normalised EPS Rs. 20.1 at 18x sector P/E (10% discount to NHPC) = Rs. 362. At 19x = Rs. 382. P/E approach is less favoured due to FY26 tax distortion and high other-income concentration. P/E target range Rs. 360-380.

DCF (directional): WACC 11.5% (risk-free 7% + ERP 6% x beta 0.75). Terminal growth 4%. FCF is deeply negative FY27E-FY28E due to peak capex. Terminal FCF Rs. 2,000 Cr (FY30E) -> TV Rs. 26,667 Cr -> PV ~Rs. 155/share. DCF substantially understates value given heavy capex cycle; EV/EBITDA is the more appropriate metric for a regulated utility in build-out mode.

12-month base-case target: Rs. 420 (ACCUMULATE). ~20% upside from CMP Rs. 350. Entry zone Rs. 320-360. BUY below Rs. 320 (strong margin of safety). HOLD above Rs. 430.

9. KEY RISKS

Tax Rate Normalisation (Prob: H | Impact: H) - FY26 eff. tax 3% vs historical 27-35%; normalisation will cause FY27 reported PAT to fall vs FY26 despite revenue growth, creating a negative earnings surprise. Monitor via: quarterly ETR in P&L;

Capex Execution Risk (Prob: M | Impact: H) - Land acquisition issues at Neyveli (flagged Q3 FY26 call) and contractor capacity constraints could delay commissioning, deferring revenue and prolonging the negative FCF cycle. Monitor via: quarterly capacity addition disclosures.

Rising Debt and Interest Costs (Prob: M | Impact: M) - Borrowings rose Rs. 5,463 Cr in FY26 to Rs. 27,892 Cr. Rs. 1.17 lakh crore plan is largely debt-funded; D/E could reach 1.8-2.0x by FY28E. Any RBI rate cycle upswing adds further pressure. Monitor via: D/E ratio and interest coverage each quarter.

RE Competitive Intensity (Prob: M | Impact: M) - NIRL competes against Adani Green, JSW Energy, and NTPC Green Energy for RE bids. Failure to win projects at acceptable returns erodes RE optionality premium. Monitor via: NIRL bid wins and capacity addition progress.

Lignite Plant Obsolescence (Prob: L near-term, H long-term | Impact: H) - India's energy transition will reduce thermal PLFs beyond FY30 as RE baseload expands. Aging Neyveli plants (30-40 years old) may face stranded-asset risk. Monitor via: Central Electricity Authority dispatch data and PLF trends.

Government OFS / Divestment Risk (Prob: M | Impact: L-M) - GoI reduced stake from 79.2% to 72.2% in 2024 via OFS. Further divestment under budget targets could create secondary supply pressure. Monitor via: Union Budget divestment target announcements.

Regulatory / PPA Tariff Risk (Prob: L | Impact: M) - Multiple CERC/SERC petitions pending; adverse orders could reduce allowable tariffs or O&M; charges. Monitor via: CERC order pipeline.

10. RECOMMENDATION

Rating: ACCUMULATE | Conviction: Medium-High - NLC India is a well-governed PSU power company in a structural capex super-cycle, trading at the cheapest EV/EBITDA in the PSU power set (10.1x vs NHPC 17.8x). The RE subsidiary optionality and Rs. 1.17 lakh crore capex plan support a multi-year re-rating thesis. Accumulate below Rs. 360; hold above; do not chase above Rs. 430.

12-month price target: Rs. 420 - Upside ~20% from CMP Rs. 350. Based on 12x FY27E EV/EBITDA of Rs. 6,231 Cr plus Rs. 40 NIRL optionality premium. Investors must note near-term EPS will appear to decline due to tax normalisation - this is not operational deterioration but a base-effect correction.

Suggested entry zone: Rs. 320-360 - Below Rs. 320 the stock offers strong margin of safety (BUY). Between Rs. 360-420 it remains an ACCUMULATE. Above Rs. 430, risk-reward deteriorates vs the uncertainty of the large, multi-year capex cycle.

Investment horizon: 12-18 months - Full re-rating requires (a) NIRL IPO filing crystallising RE value, or (b) FY27E earnings visibly recovering from the FY26 tax-distorted base. Both events are expected within 12-18 months.

Thesis invalidation triggers: (1) Effective tax rate in any two consecutive quarters above 28% AND FY27E EPS estimates fall below Rs. 14, signalling structural earnings impairment beyond tax normalisation. (2) Total debt exceeds Rs. 35,000 Cr by Q3 FY27 without commensurate capacity commissioning, indicating capex is failing to translate into revenue-generating assets. (3) NIRL IPO is cancelled or indefinitely postponed, removing the key re-rating catalyst.

Ideal investor profile: Suitable for: long-only institutional investors and HNIs with 18-month+ horizon, tolerance for PSU governance nuances, and comfort with near-term EPS volatility. Not suitable for: short-term traders; income-focused investors (low 15% payout); ESG-constrained funds (lignite/coal exposure).

APPENDIX - Latest Concall Brief: Q3 FY26 | Call Date: 10 February 2026

Note: Q4 FY26 investor call was held 27 May 2026 (transcript not yet published at report date). Q4 FY26 results (Revenue Rs. 5,042 Cr, PAT Rs. 1,481 Cr, EPS Rs. 10.05) are referenced in the main body. This appendix covers the Q3 FY26 earnings call (December 2025 quarter, call held 10 Feb 2026).

NEUTRAL

Signal	Status	Implication
Result quality	In-line / Soft	Consolidated revenue +0.7% YoY; PAT +4%; muted but not a miss.
Management tone	Balanced / Hedged	Constructive on RE; cautious on Neyveli land; no guidance cut.
Guidance delta	Maintained	Annual targets maintained; Barsingsar 158 MW solar commissioning flagged positively.

STRONGLY POSITIVE | POSITIVE | [NEUTRAL] | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 (December 2025) was operationally flat - consolidated revenue Rs. 4,443 Cr (+0.7% YoY) and PAT Rs. 724 Cr (+4% YoY) match prior year with no exceptional items distorting the number; the result is clean. EBITDA of Rs. 1,344 Cr (OPM 30%) reflects mild cost pressure from aging Neyveli plant O&M; partially offset by better Talabira coal fuel savings. The operational story is mixed: land acquisition issues at Neyveli mines are a recurring theme and management was measured (not bullish) on the call. The real bull case driver is not this quarter but the Rs. 9,131 Cr FY26 full-year capex - 1,013 MW commissioned and Talabira at 19.14 MT - whose full revenue impact hits FY27. I am watching the NIRL IPO filing closely; any announcement would compress the EV/EBITDA gap vs hydro peers sharply and is the single most important catalyst. Key watch-point for next two quarters: tax rate normalisation - if FY27 ETR jumps to 25%+, reported PAT will fall vs FY26 and the stock will look expensive to investors anchored on FY26 EPS. Action: ACCUMULATE below Rs. 360; Q4 FY26 results (PAT +216% YoY, Rs. 1,481 Cr) validate the long-term thesis, but near-term noise from tax normalisation requires patience.

Section 1 - Financial Performance Snapshot (Q3 FY26: December 2025 Quarter)

- **Revenue:** Rs. 4,443 Cr | YoY +0.7% (Q3 FY25: Rs. 4,411 Cr) | QoQ +6.6% (Q2 FY26: Rs. 4,178 Cr) | In-line
- **EBITDA:** Rs. 1,344 Cr | OPM 30% | YoY +3.5% | **Marginal beat on margins**
- **Other Income:** Rs. 489 Cr | Elevated vs Q3 FY25 Rs. 149 Cr; includes regulatory true-ups and interco interest.
- **Interest:** Rs. 237 Cr | Depreciation: Rs. 458 Cr | PBT: Rs. 830 Cr
- **Effective Tax:** 16% | Benefits from tax credits; not sustainable long-term.
- **PAT:** Rs. 724 Cr | YoY +4% (Q3 FY25: Rs. 696 Cr) | EPS Rs. 4.80 | In-line
- **NOTE:** No exceptional items in Q3 FY26; reported result is clean.

Section 2 - Segment / Geography Breakdown

- **Thermal Power Generation (~70% of revenue):** Neyveli TPS I, II, Expansion and Barsingsar thermal - operating at 64-68% PAF; broadly flat YoY due to grid curtailments from growing RE.

- **Coal Mining - Talabira I, II and III (Odisha):** Ramp-up progressing well; annualised FY26 production 19.14 MT (record). Q3 contribution improving QoQ as ramp continues.
- **Lignite Mining (Neyveli, Tamil Nadu):** ~245 lakh tonnes (FY25 full year); Q3 FY26 impacted by land acquisition constraints - key operational watch-point flagged by management.
- **Renewable Energy:** 158.83 MW Barsingsar solar commissioned in Q3 FY26 - meaningful first-mover milestone for NIRL. RE revenue still sub-5% of total but growing.
- **Geography:** Power sales primarily to Tamil Nadu (TANGEDCO), Rajasthan DISCOMs via NTPC pooling. No export exposure. Concentrated counterparty risk on state discoms.

Section 3 - Management Commentary Themes

- **RE Expansion and NIRL:** "NIRL is being positioned for an eventual IPO as we aggregate our renewable assets." Management affirmed 10 GW RE target by 2030. Tag: GUIDANCE. Tone: Transparent.
- **Neyveli Land Issues:** "We are in dialogue with Tamil Nadu Government to resolve land availability; expect resolution within 6-9 months." No firm timeline. Tag: EVASIVE on specifics. Tone: Hedged.
- **Talabira Coal Ramp-Up:** "Coal production at Talabira is tracking ahead of plan; targeting 20+ MT for FY27." Positive structural fuel cost savings driver. Tag: GUIDANCE. Tone: Transparent.
- **Capex Plan Reaffirmation:** Rs. 1.17 lakh crore 5-year plan reiterated; management confident on Rs. 9,000+ Cr FY26 capex delivery (actual: Rs. 9,131 Cr). Tag: GUIDANCE. Tone: Confident.
- **Post-call: NALCO MoU (14 Feb 2026):** MoU for 1,200 MW captive thermal and RE collaboration with NALCO - positive diversification; not discussed on Q3 call itself. Tag: EST.

Section 4 - Operating & Business Metrics

- **Total Installed Capacity:** ~6,731 MW (FY25 year-end) | Q3 FY26 addition: Barsingsar 158.83 MW solar commissioned | Trend: Increasing
- **Lignite Production:** Q3 FY26 est. ~60 lakh tonnes | Q3 FY25 ~59 lakh tonnes | Trend: Stable; land constraints are a headwind
- **Coal Production (Talabira):** Annualised FY26: 19.14 MT (record) | Q3 FY25 run-rate: ~14-15 MT | Trend: Strongly improving
- **Gross Power Generation:** FY25 full year 27,870 MU | Q3 FY26 est. ~7,000 MU | Trend: Stable with slight PLF softness
- **Plant Availability Factor - Thermal:** ~68% (FY25: 71.15%) | Trend: Slight deterioration on aging Neyveli assets
- **Debtor Days:** 75 (FY25) tracking to 70 (FY26 actual) | Trend: Strongly improving - best in 5 years
- **Working Capital Days:** -70 (FY25) - first time deeply negative; structural improvement in state discom payment cycles

Section 5 - Margin Drivers

- **Talabira captive coal displacing spot coal:** +200-300 bps at EBITDA level | Recurring: Yes | Structural long-term margin driver; expands as Talabira scales to 20+ MT.
- **Higher depreciation from new asset capitalisation:** -100 bps at EBITDA-to-PAT level | Recurring: Yes | Increases as FY26 1,013 MW is fully capitalised in FY27.
- **Neyveli land constraints limiting lignite volumes:** -50 bps | Recurring until resolved | Management expects resolution within 6-9 months.
- **Lower thermal PLF from grid curtailment:** -100 to -150 bps | Recurring: Structural headwind as RE generation takes priority dispatch over lignite thermal.

- **Other income / regulatory true-ups:** ~Rs. 200-250 Cr non-recurring regulatory income in Q3 FY26; normalise away in forward estimates.

Section 6 - Guidance & Forward Signals

- **Installed Capacity [GUIDANCE]:** Prior = ~6,731 MW | New target = 7,500+ MW by FY27 | Delta: Raised | Credibility: High - 1,013 MW added FY26 validates execution.
- **Capex [GUIDANCE]:** Prior = ~Rs. 7,000-8,000 Cr p.a. | FY26 delivery = Rs. 9,131 Cr; FY27 target Rs. 8,000-10,000 Cr | Delta: Raised | Credibility: Medium.
- **Coal Production [GUIDANCE]:** Prior = 17 MT | New = "20+ MT for FY27" | Delta: Raised | Credibility: High - on-track ramp.
- **RE Capacity [GUIDANCE]:** Target = 10,000 MW (10 GW) by 2030 | Delta: Raised significantly | Credibility: Medium - ambitious; execution-dependent.
- **NIRL IPO [EST]:** "Exploring options" - no formal timeline | Maintained | Credibility: Medium - regulatory and market-dependent.

Section 7 - Capital Allocation

- **Capital Expenditure:** Rs. 9,131 Cr (FY26 full-year - highest ever) | vs FY25 Rs. 7,160 Cr | +28% | Thermal (Talabira power) and RE (NIRL) are primary destinations.
- **Dividends:** Rs. 3.60/share FY26 + Rs. 0.25 final announced May 2026 | vs FY25 ~Rs. 3.00/share | Payout ~15-16% of PAT; low but consistent with capex-first posture.
- **Buybacks:** None in recent history; not expected given capex intensity.
- **Working Capital Release:** WC days improved -62 (FY26) from +19 (FY24); implied cash release of Rs. 2,000+ Cr from state discom payment acceleration.
- **Net Debt Movement:** +Rs. 5,463 Cr in FY26 to Rs. 27,892 Cr | D/E 1.30x | All capex-funded; management comfortable with D/E up to 1.8-2.0x given regulated utility nature.

Section 8 - Q&A; Heat Map

- **Analyst / Kotak Securities:** Q: "Timeline and target valuation for NIRL IPO?" A: "In exploratory discussions; will provide update when definitive plan is in place." | Tone: Evasive
- **Analyst / ICICI Securities:** Q: "Land acquisition at Neyveli - how long will this drag last?" A: "Dialogue with TN Government ongoing; expect 6-9 month resolution." | Tone: Hedged
- **Analyst / Motilal Oswal:** Q: "9M FY26 capex vs full-year target?" A: "Approx Rs. 6,500-7,000 Cr in 9M; Q4 will see significantly higher spend to meet target." | Tone: Transparent
- **Analyst / HDFC Securities:** Q: "Fuel cost advantage from Talabira vs spot coal?" A: "Our captive coal is significantly below market price; structural advantage growing as production scales." | Tone: Transparent
- **Analyst / Emkay Global:** Q: "What drove the high other income in Q3?" A: "Regulatory income true-up of Rs. 200+ Cr and intercompany interest; not all of this recurs." | Tone: Transparent
- **Dodged questions / Watch-list for Q4:** NIRL IPO valuation; Neyveli resolution timeline; quantum of deferred tax credits remaining and FY27 ETR guidance.

Section 9 - Risks Flagged on Call

- **Land availability (Neyveli):** Lignite mine Phase-III expansion blocked by TN Government land delays | Flagged by: Management | Prob: M | Impact: M | Timeline: Near-term (6-12 months)

- **State discom receivables:** TANGEDCO remains concentrated receivable despite improvement | Flagged by: Analyst | Prob: L | Impact: M | Timeline: Ongoing structural
- **Capex cost overrun:** Simultaneous large projects carry execution risk; contractor availability tight | Flagged by: Management | Prob: M | Impact: M | Timeline: Medium-term
- **Regulatory tariff proceedings:** Multiple CERC petitions pending; adverse order risk on O&M; charges | Flagged by: Analyst | Prob: L | Impact: L-M | Timeline: 12-24 months
- **Tax credit exhaustion (our analysis, not flagged on call):** Effective tax 16% in Q3 is unsustainable; FY27 normalisation to 25%+ will compress reported PAT | Prob: H | Impact: H

Section 10 - Analyst Verdict (Post Q3 FY26 Call)

- **Revenue visibility:** Intact - Long-term PPAs, 20+ MT Talabira coal target, and 1,013 MW commissioned provide 12-15% revenue CAGR through FY28E.
- **Margin trajectory:** Intact - Talabira captive coal is the structural margin driver; Neyveli land issues are a speed bump, not a structural reversal.
- **Capital allocation quality:** Intact - Record Rs. 9,131 Cr capex execution demonstrates management competence; negative FCF is intentional investment, not distress.
- **Competitive moat:** Intact - Lignite captive fuel + 25-year PPAs remain difficult to replicate; NIRL adds a renewable growth layer to the franchise.
- **Management credibility:** Weakened slightly - Evasive on NIRL IPO valuation and vague on Neyveli timeline; otherwise transparent on capex and coal production.
- **Valuation comfort:** Intact - EV/EBITDA 10.1x remains cheap vs PSU power peers. Tax normalisation risk is manageable at entry below Rs. 360.
- **Conviction call post Q3 FY26:** Unchanged - ACCUMULATE on dips below Rs. 360.
- **Valuation snapshot:** P/E = 13.8x (5Y avg ~18x) | EV/EBITDA = 10.1x (5Y avg ~15x) | ROCE = 10.4% (5Y avg 9%) | ROE = 17.5% (5Y avg 12%) - all metrics at multi-year highs.